

Gorman-Rupp

A hypothetical five-year acquisition of an industrial pump manufacturer. FY2025 historical basis; USD millions unless indicated.

Recommendation: reprice before proceeding.

At 10.0x entry EBITDA, the base case returns 7.9% versus a 20.0% hurdle.

Investment judgment

The base case supports a maximum enterprise value of **\$935.0m (7.60x)** at the target return, holding the debt amount and operating assumptions fixed. The proposed 10.0x price implies \$1,230.7m of enterprise value. Growth and debt repayment do not offset that purchase price and the assumed 9.0x exit multiple.

The investment hypothesis is that durable pump demand and cash generation can support a buyout through a cycle. Test end-market exposure, customer retention and maintenance demand before treating that hypothesis as an underwriting conclusion.

Transaction assumption	Default case	Return / financing measure	Result
Entry multiple / exit multiple	10.0x / 9.0x	Sponsor equity	\$732.6m
Initial debt / EBITDA	4.5x	Initial debt	\$553.8m
Interest / annual amortization	8.0% / 1.0%	Year-five debt	\$281.8m
Minimum cash / revolver	\$20.0m / \$50.0m	Minimum EBITDA / interest	2.89x
Transaction / financing fees	2.0% EV / 2.0% debt	DCF enterprise value	\$1,076.1m

Scenario discipline

Scenario	Revenue path	Exit multiple	Gross IRR	MOIC
Downside	-8%, -2%, 1%, 2%, 2%	7.0x	-11.6%	0.54x
Base	4% annually	9.0x	7.9%	1.46x
Upside	6%, 6%, 5%, 5%, 4%	10.0x	14.3%	1.95x

Scenarios also vary EBITDA margin: Base unchanged; Upside +0.3 to +1.0 percentage points; Downside -3.0 to -1.0 points versus FY2025. No operating initiatives are included in this table. Gross returns precede fund fees and carry.

The DCF assumes a 10.0% discount rate and 2.5% perpetual growth. These are illustrative assumptions, not market-derived estimates. No current share price, takeover premium or observed transaction multiple is used.

An operating plan with costs

Pricing, process yield and inventory initiatives feed the same cash-flow, debt and returns model.

Under the base operating case, the illustrative plan increases gross IRR from **7.9% to 10.6%** and MOIC from **1.46x to 1.66x**. It still falls below the 20.0% return hurdle at the default entry price. Operational improvement is therefore a diligence priority, not a justification for the proposed price.

Initiative	Hypothesis and measurement	Model treatment
Pricing	1.0% realized price increase; 0.25% volume loss; 35% lost-volume contribution margin. Track price realization, churn and mix by customer.	Net price and lost contribution affect recurring EBITDA. The model also captures revenue-driven capex and working capital.
Process yield	Savings equal to 0.6% of baseline cost of goods sold. Track scrap rate, first-pass yield, throughput and cost per unit.	\$3.0m initial capex; straight-line depreciation over five years. Savings enter EBITDA as implementation ramps.
Inventory	Eight fewer inventory days. Track aging, turns, fill rate and on-time delivery.	The reduction releases cash through working capital. Only the annual change enters cash flow; it never enters EBITDA.

Implementation economics

Realization ramps to 35% in Year 1, 75% in Year 2 and 100% thereafter. Operating implementation costs total \$3.0m: \$2.0m in Year 1 and \$1.0m in Year 2. Costs are allocated 25% to pricing, 50% to yield and 25% to inventory when individual initiatives are toggled.

Measure	Base	With plan	Change
2030 recurring EBITDA	\$149.7m	\$160.7m	\$11.0m
2030 closing debt	\$281.8m	\$239.6m	(\$42.2m)
Exit equity value	\$1,072.3m	\$1,212.7m	\$140.3m

First 100 days: evidence before scale

Window	Work and decision gate
Days 1-30	CFO and operating leads establish customer, SKU and plant baselines. Reconcile source data to reported accounts. Validate available capacity and service requirements.
Days 31-60	Commercial and plant leads pilot repricing and process changes. Run sensitivity tests on demand loss and implementation delay. Stop initiatives that reduce contribution or service quality.
Days 61-100	Scale only validated pilots. Assign monthly owners and budgets. Finance reconciles realized EBITDA and cash effects against the original case; revise the investment forecast.

All targets, timing and implementation budgets are hypotheses for this case. No company management commitment or achieved operating improvement is represented.

Make the comparisons defensible

A five-company industrial screen supports research prioritization. It is not a database of actionable acquisition targets.

Company	FY2025 revenue	EBITDA margin	FCF / EBITDA	Net leverage
Graco (GGG)	\$2,236.6m	32.7%	87.1%	-0.82x
ITT (ITT)	\$3,938.5m	21.0%	66.1%	-1.16x
Gorman-Rupp (GRC)	\$682.4m	18.0%	72.2%	2.21x
Donaldson (DCI)	\$3,690.9m	16.1%	57.1%	0.82x
Flowserve (FLS)	\$4,729.3m	10.5%	87.8%	1.64x

Earnings quality changes the interpretation

Gorman-Rupp: operating EBITDA is operating income plus D&A: \$95.363m + \$27.709m = \$123.072m. It differs from company-adjusted EBITDA of \$128.791m. This case retains facility costs and LIFO expense. **Graco:** operating profit includes a \$14.061m contingent consideration benefit. **Donaldson:** its July fiscal year differs from the other companies, and reported earnings include \$62m of impairment expense.

Flowserve: operating income includes a \$140.092m asbestos divestiture loss; operating cash flow includes a \$199m related contribution. Normalize the earnings and cash effects together. **ITT:** year-end cash reflects an equity raise ahead of SPX FLOW. Net cash is not a steady-state funding assumption. The screen excludes \$7.9m of capex incentives from FCF.

Priority diligence questions

Commercial: Which customers and end markets drive backlog, cancellations and pricing power? **Operations:** What plant and SKU evidence supports yield and inventory targets? **Financial:** Which earnings adjustments are nonrecurring, and what cash effects accompany them? **Financing:** What are actual debt payoff, pension, lease and debt-like obligations, lender covenants and seasonal liquidity needs?

Definitions and scope

Screen EBITDA proxy = reported operating income + D&A; FCF = operating cash flow - gross capex; net leverage = (book debt - cash) / EBITDA proxy. Fiscal dates and source notes appear in the interactive screen and workbook. Multiples used for illustrative valuation are user assumptions, not trading comparables.

The acquisition model covers five annual periods, sources and uses, debt sweeps, bounded revolver draws, cash taxes and a DCF cross-check. Interest uses beginning debt. No interim distributions are assumed. A funding shortfall suppresses returns. The model is not a full three-statement or purchase-accounting model; it omits tax-loss carryforwards, interest-deduction limits and intra-year financing. Debt payoff of \$310m is an assumption; reported book debt is \$307.531m.

Primary sources

Gorman-Rupp: [FY2025 results and financial statements](#) | fiscal year ended 2025-12-31

Graco: [FY2025 results and financial statements](#) | fiscal year ended 2025-12-26

Donaldson: [FY2025 results and financial statements](#) | fiscal year ended 2025-07-31

Flowserve: [FY2025 results and financial statements](#) | fiscal year ended 2025-12-31

ITT: [FY2025 results and financial statements](#) | fiscal year ended 2025-12-31

Historical inputs retrieved September 23, 2026. Gorman-Rupp condensed earnings-release statements are unaudited. This retrospective case uses FY2025 information; it is not a contemporaneous 2025 decision or a representation of executed investment work.